the outstanding debt into sustainable debt and equity/quasi-equity instruments which are expected to provide upside to the lenders when the borrower turns around. Thus capable-but-over-indebted promoters have some incentive to perform, and because the project is not deemed an NPA if adequate provisions are made, public sector banks continue lending to it if necessary.

Most recently, the government is contemplating a fund to lend into distressed situations, with significant participation by third parties, so that new loans can be made to viable distressed projects. Provided decision making is not dominated by banks whose very loans are distressed, this could be an effective vehicle to speed up resolution.

WHY SO MANY SCHEMES AND WHY THE CONSTANT TINKERING

The sources of borrower distress are many, and we have sought to provide lenders with a menu of options to deal with it, even while limiting their discretion to paper over the problem. Effectively the RBI has been trying to create an entirely new bad loan resolution process in the absence of an effective bankruptcy system. We have had to tinker, since each scheme's effectiveness, while seemingly obvious when designing, has to be monitored in light of the distorted incentives in the system. As we learn, we have adapted regulation. Our objective is not to be theoretical but to be pragmatic, even while subjecting the system to increasing discipline and transparency.

The good news is that banks are getting into the spirit of the clean-up, and pursuing reluctant promoters to take the necessary steps to rehabilitate projects. Indebted promoters are being forced to sell assets to repay lenders. We will shortly license a number of new Asset Reconstruction Companies (ARCs) to provide a deeper market for stressed assets. We are also working on a framework to enhance efficiency and transparency of price discovery in sale of stressed assets by banks to ARCs. Bank investors, after initially getting alarmed by